

THE MECHANICS OF MONETARY AND FISCAL POLICIES AND INTEREST RATES

MONETARY POLICIES

In general, monetary policy refers to the combination of measures design to regulate the value, supply and cost of money in an economy, in consonance with the level of economy activity. An excess supply of money which will result in an excess demand for goods and services will cause rising prices and/or a deterioration of the balance of payments position. On the other hand, an inadequate supply of money could induce stagnation in the economy and thereby retard growth and development. Consequently, the central bank or the central monetary authority must attempt to keep the money supply growing at an appropriate rate to ensure sustainable economy growth and maintain internal and external stability. Monetary policy deals with the discretionary control of money supply by the monetary authorities in order to achieve stated or desired economic goals. Monetary Policy refers to the specific actions taken by the Central Bank (Monetary Authority) to regulate the value, supply and cost of money in the economy with a view to achieving predetermine macroeconomic goals. The Central Bank of Nigeria, like other central banks in developing countries, seeks to achieve price stability through the management of money supply. The need to regulate money supply is based on the knowledge that there is a relatively stable relationship between the quantity of money supply and economic activity and that if the supply of money is not limited to what is required to support productive activities, it will result in undesirable effects such as inflation or deflation. Several factors influence the supply of money, some of which are within the control of the central bank, while others are outside its control. The specific objectives and focus of monetary policy may change from time to time, depending on the level of economic development and economic fortunes of the country

Objectives of Monetary Policy

In Nigeria, the major objectives of monetary policy include:

- (i) attainment of price stability and sustainable economic growth
- (ii) full employment (or a low unemployment rate),
- (iii) high output (or a high output growth),
- (iv) a low inflation rate
- (v) a stable exchange rate (or a desirable balance of payments).

Types of Monetary Policy

The monetary policy can be either expansionary or contractionary actions of the central bank to control money supply. Expansionary Monetary Policy is a set of actions by the monetary authority to increase money supply in the economy. It is conventionally used to stimulate economic activity, usually in a recession. Contractionary Monetary Policy on the other hand seeks to reduce the level of money supply in the economy. It is conventionally used to reduce inflationary pressures in the economy.

Instruments of Monetary Policy

(a) **Cash Reserve Requirements:** This instrument is used by the central bank to influence the level of bank reserves and hence, their ability to grant loans. Reserve requirements are lowered in order to free reserves for banks to grant loans and thereby increase money supply in the economy. On the other hand, they are raised in order to reduce the capacity of banks to provide loans thereby reducing money supply in the economy.

(b) **Open Market Operations (OMO):** The most important and flexible tool of monetary policy is open market operations. It is the buying and selling of government securities in the open market (primary or secondary) in order to expand or contract the amount of money in the banking system. By purchasing securities, the central bank injects money into the banking system and stimulates growth whereas by selling securities it absorbs excess money. Thus, if there is excess liquidity in the system, the central bank will in a bid to reduce the money supply sell the government securities such as Treasury Bills. On the other hand, in periods of liquidity shortages, the central bank buys government securities so as to increase money supply. Instruments commonly used for this purpose include treasury bills, central bank bills, or prime commercial paper. OMO enables the central bank to influence the cost and availability of reserves and bring about desired changes in bank credit and money supply. This important instrument of monetary policy has a number of advantages because it is flexible and precise, it is implemented quickly and easily reversed and the central bank has complete control. The effectiveness of OMO, however, depends on the existence of well developed financial markets that are sensitive to interest rate movements.

(c) **Discount Rate:** This instrument is a facility provided by the central bank which enables the DMBs to borrow reserves against collaterals in form of government or other acceptable securities. The central bank operates this facility in accordance with its role as lender of last resort and transactions are conducted in form of short term (usually overnight) loans. The central bank lends to financially sound DMBs at the policy rate. This rate sets the floor for the interest rate regime in the money market (the nominal anchor

rate) and thereby affects the supply of credit, the supply of savings (which affects the supply of reserves and monetary aggregate) and the supply of investment (which affects employment and GDP).

(d)**Moral Suasion:** The central bank issues licenses to DMBs and regulates the operation of the banking system. Thus, it can persuade banks to follow certain policies such as credit restraint or expansion, increase savings mobilization and promote exports through financial support, which otherwise they may not do, on the basis of their risk/return assessment.

(e)**Direct Credit Control**

The central bank can direct Deposit Money Banks on the maximum percentage or amount of loans (credit ceilings) to different economic sectors or activities, interest rate caps, liquid asset ratio and issue credit guarantee to preferred loans. In this way the available savings is allocated and investment directed in particular directions as desired by the authorities.

(f)**Exchange Rate:** The balance of payments can be in deficit or in surplus and this can affect the monetary base, hence the money supply, in one direction or the other. By selling or buying foreign exchange, the central bank ensures that the exchange rate is at an optimal level. The real exchange rate when misaligned affects the current account balance because of its impact on external competitiveness.

(g)**Prudential Guidelines:** The central bank may require DMBs to exercise particular care in their credit operations in order to achieve specified outcomes. Key elements of prudential guidelines remove some discretion from bank management and replace them with rules.

THE CONCEPTS OF FISCAL POLICY

The term fiscal policy has conventionally been associated with the use of taxation and public expenditure to influence the level of economic activities. Fiscal policy involves the use of government spending, taxation and borrowing to influence the pattern of economic activities and also the level and growth of aggregate demand, output and employment. Fiscal policy is concerned with deliberate actions which the Government of a country take in the area of spending money and/or levying taxes with the objective of influencing macro-economic variables, such as the level of national income or output, the employment level, aggregate demand level, the general level of prices etc in a desired direction.

Objectives of the Nigerian Fiscal Policies

The objectives of fiscal policy at a particular time period may differ from objectives to be achieved at another time period. The Nigeria's fiscal policy objectives include the following:

- (i) Generation of significant government revenues;
- (ii) Diversification of revenue sources away from crude oil-based revenues;
- (iii) Reduction of the tax burden on individual and corporate bodies;
- (iv) Effective protection of domestic industries;
- (v) Promotion of self-reliant development process;
- (vi) Progressive reduction and elimination of government budget deficits;
- (vii) Cost recovering activities by social services and public enterprises;
- (viii) Integration of the informal sector into the country's economic mainstream;
- (ix) Reduction of internal and external debt burdens;
- (x) Achievement of balance-of-payments equilibrium and exchange rate stability.
- (xi) Full employment and Exchange rate stability.

Instruments of Fiscal Policy

The two key instruments of fiscal policy are:

- (i) Government Expenditures and
- (ii) Taxation

Government Expenditures

During the course of a year, the Government of any country undertakes expenditures of various kinds. Such expenditures have impact on the level of economic activities. Typically, Government expenditures may be undertaken for the following purposes.

- (a) To build roads and bridges
- (a) To provide housing for the people
- (b) To promote agriculture and allied activities
- (b) To improve educational facilities

- (c) To protect the citizens against aggression -
- (d) To maintain law and order
- (e) To create jobs in different sectors of the economy
- (f) To service a nation's debt

Types Fiscal policy

Expansionary Fiscal Policy

There are two types of fiscal policy. The most widely-used is expansionary, which stimulates economic growth. Congress uses it to end the contraction phase of the business cycle when voters are clamoring for relief from a recession. The government either spends more, cuts taxes, or both. The idea is to put more money into consumers' hands, so they spend more. The increased demand forces businesses to add jobs to increase supply.

Politicians debate about which works better. Advocates of supply-side economics prefer tax cuts because they say it frees up businesses to hire more workers to pursue business ventures. Advocates of demand-side economics say additional spending is more effective than tax cuts. Examples include public works projects, unemployment benefits, and food stamps. The money goes into the pockets of consumers, who go right out and buy the things businesses produce.

An expansionary fiscal policy is impossible for state and local governments because they are mandated to keep a balanced budget. If they haven't created a surplus during the boom times, they must cut spending to match lower tax revenue during a recession. That makes the contraction worse. Fortunately, the federal government has no such constraints; it's free to use expansionary policy whenever it's needed. Unfortunately, it also means Congress created budget deficits even during economic booms despite a national debt ceiling. As a result, the critical debt-to-gross domestic product ratio has exceeded 100%.

Contractionary Fiscal Policy

The second type of fiscal policy is **contractionary fiscal policy**, which is rarely used. Its goal is to slow economic growth and stamp out inflation. The long-term impact of inflation can damage the standard of living as much as a recession. The tools of contractionary fiscal policy are used in reverse. Taxes are increased, and spending is cut. You can imagine how wildly unpopular this is among voters. Only lame duck politicians could afford to implement contractionary policy.

The Use of Taxation as an Instrument of Fiscal Policy in Nigeria

Fiscal policy is part of government policy concerning taxation and other revenues, public spending, and government borrowing (the public sector borrowing requirement).

Governments have to decide how much to spend, how resources should be shared between different spending programmes, how much to raise in taxes and in borrowing, as well as what taxes to levy, thereby directing the economy. For example, value-added tax (VAT) and excise duty on tobacco discourages cigarette smoking; mortgage tax relief encourages people to buy their own home. At macroeconomic level, more public spending and less taxation will stimulate total spending in the economy, leading probably to a fall in unemployment but a rise in inflation.

In Nigeria, the Fiscal Policy Department, of the Federal Ministry of Finance, formulate and implement the fiscal policies of the Federal Republic of Nigeria. Formulation of Government's fiscal policy is made on the basis of the required adjustments and changes, to be made in taxation, revenue and expenditure for purposes of economic growth, stabilization and equity. Nigeria is governed by a federal system, hence its fiscal operations also adhere to the same principle. This has serious implications on how the tax system is managed in the country. In Nigeria, the government's fiscal power is based on a three-tiered tax structure divided between the federal, state and local governments, each of which has different tax jurisdictions. As of 2002, about 40 different taxes and levies are

shared by all three levels of government.

The Nigerian tax system is lopsided, and dominated by oil revenue. The most veritable tax handles are under the control of the federal government while the lower tiers are responsible for the less buoyant ones—the federal government taxes corporate bodies while the states and local governments tax individuals. While the federal government on average accounts for 90 per cent of the overall revenue annually, it only accounts for about 70 per cent of total government expenditure. In 1995, the breakdown of total tax and levy collection of the three tiers was 96.4 per cent for the federal government, 3.2 per cent for the state and 0.4 per cent for the local government. A major element contributing to this development was the prolonged military rule that had ignored constitutional provision.

Nigeria operates a three-tier government, with certain fiscal responsibilities and powers delineated to each level. To avoid conflict among the three levels, the 1999 Constitution classified governmental responsibilities and powers into exclusive, concurrent and residual categories or lists. The National Assembly is empowered to issue legislation on the taxation of incomes, profits and capital gains. It is also authorized to legislate on matters classified in the concurrent list, particularly those related to the 'division of public revenue'—tax collection. The State Houses of Assembly, on the other hand, may prescribe the collection of any tax, fee or rate, or the administration of a law to provide for such collection by a local government council. This constitutional provision enables the state government to impose, collect and spend any tax, fee or rate which is not expressly stipulated as being within the authority of the federal government. Consequently, the state government is empowered to impose tax on all items in the concurrent list as well as residual matters.

Effects of Fiscal Measures

Although fiscal measures are aimed at promoting rapid economic growth, they also generate some unintended effects, making taxation a double-edged sword. Apart from

encouraging (or discouraging) activities that are socially or environmentally friendly (unfriendly), fiscal policy is also used as a tool to provide direct assistance to society or individuals. As an economic development tool, taxation provides the financial base for providing and maintaining, among others, infrastructure such as roads, electricity, telecommunications, and water that have direct impact on living conditions. The need to bring social succor to the people recognizes the potential offered by personal taxation for improving exemption benefits such as individual allowance, tuition for children, insurance premiums and allowance for dependent family members, all of which are factors that affect the social structure of the whole country. Part of the adverse impact of taxation is the possible migration of people and businesses. Taxation can become a 'push' or 'pull' factor for migration because businesses relocate to areas with smaller taxes. In fact, taxation in recent times is one of the instruments for promoting foreign investments in developing countries.

The foregoing has a significant practical impact for Nigeria. For instance, an increase in import duties in the country would cause an intensification of smuggling and underutilization of some productive capacities. The approved budget for the year 2000 highlights the seriousness of this problem: Imports destined for Nigeria are still diverted to ports of neighbouring countries. This is due to relatively high port charges and levies. The result is a loss of revenue in terms of import duties going to neighbouring countries. In addition to the loss of revenue, port facilities are seriously under-utilized since importers now ship goods through neighbouring ports. The prohibitive taxes imposed by the government also cause, in some cases, excess capacity in domestic manufacturing plants.

Since the adoption of SAP in 1986, government has used taxation as a tool to fight poverty, with the emphasis on increasing disposable income as well as shifting the focus from income to consumption. Prior to 1986, tax measures were concentrated on income when PIT was increased from N 600 or 10 per cent to N 1,200 or 12.5 per cent for income exceeding N 6,000. The 1990s witnessed a different story, when minimum individual tax was reduced in 1990 from 1 to 0.5 per cent. In anticipation of the 1994 introduction of

VAT, the PTT marginal tax rate was reduced from 45 to 30 per cent in 1993, and again in 1995 and 1966 to 30 and 25 per cent, respectively. The PTT rate was also made progressive. The need to enhance disposable income has been the primary objective since 1995.

With poverty alleviation in mind, the government is paying attention to tax relieves and allowances, for instance, in order to enhance workers' disposable income for better living standards. In 1996, the government also increased children allowances from N 1,000 to N 1,500 per child up to a maximum of four children. This was increased to N 2,500 in 1998. A dependant relative allowance of N 1,000 (up to two dependants) was introduced in 1997, to be farther increased to N 2,000 in 1998. During the same year, the personal allowance of N 3,000 plus 15 per cent of earned income was raised to N 5,000 plus 20 per cent of earned income. Other relevant tax relieves include life insurance scheme which offers an exemption on paid premiums up to 10 per cent of the insured capital as well as certain disability allowances. To advance this initiative, the minimum tax-free income was raised from N 7,500 in 1995/6 to N 10,000 and to N 30,000 over the next two years. All these measures were geared towards increasing the disposable income of low-wage earners and strengthening aggregate demand.

Tax relieves have significantly reduced the tax liability of the people, particularly among low-income groups. During 1995-98, the relative reduction in tax liability ranged between 48.4 and 87.5 per cent for low-income groups while it was between 25.4-45.0 per cent for high-income earners. This is clear evidence of a tax liability reduction among the poor. Relief measures have been aimed at helping workers adjust to the impact of inflation and the rising cost of living. The multiplier effect of this serves as a means of reviving the economy. With added purchasing power, aggregate demand grows and according to the accelerator principle, capacity utilization, output. This has been a recurrent event in Nigeria, as has frequently been expressed in the government's annual budget statements. Special prominence was given to this fact in the Approved Budget for the 2001 Fiscal Year, and employment opportunities increase. However, the welfare effect of the tax

relieves may not be significant because the majority of the population lives in rural areas and the ratio of formal sector workers is relatively small compared to their informal counterparts.

The fiscal policies have imposed hardships on consumers and producers in the form of high prices and increased production costs. Experience shows that producers in Nigeria treat VAT input as a cost. To this end the price effect has become non-neutral, i.e., exceeding the 5 per cent rate. Some empirical studies have drawn attention to the cascading impact of VAT. Using a general equilibrium analysis, these authors conclude that if input VAT is treated as a cost under mark-up pricing regimes, its price effect is distortionary regardless of whether or not the mark-up rates are rigid or flexible downwards. The distortionary impact is severely felt in sectors such as housing, livestock, vehicle assembly, mining, drugs and chemicals, and iron and steel. Price implications of the cascading effects range between 8.7-17.5 per cent across the 29 economic sectors of Nigeria. The effect of this on the purchasing power of the domestic currency and the welfare of the citizens cannot be underestimated.

The generous tax reliefs have been considered as counter-productive to the revenue generating efforts of the states. The states of Lagos, Delta and Oyo which generated substantial part of their internal revenue from PIT are unhappy with this development. Despite efforts to diversify the tax structure, not much has been achieved. The introduction of the structural adjustment programmes in 1986 did not help matters. Due to an inflexible tax structure, oil and gas receipts still constitute about 75 per cent of total revenue. And in the absence of policy, Nigeria's fiscal operations are largely influenced by oil-driven volatility, which impacts on both revenue and expenditure. For instance, revenue and expenditure have increased sharply during periods of high oil prices as in 1979-82, 1991-92 and 2000-2002. But as prices decline, scaling back of expenditure is the order of the day. The implications of such boom-bust fiscal policies include the transmission of oil volatility to the rest of the economy as well as distortions to the stable provision of government services. This has added to the failures

over the years of public spending neither facilitating the diversification and growth of the non oil sector nor reducing poverty. Effects of the boom-bust cycle are numerous; in addition to affecting the wages of public sector employees, particularly at the state and local government levels, it also influences the implementation of development projects and maintenance of the existing infrastructure

Fiscal Policy vs. Monetary Policy

Monetary policy and fiscal policy refer to the two most widely recognized tools used to influence a nation's economic activity. Monetary policy is primarily concerned with the management of interest rates and the total supply of money in circulation and is generally carried out by central banks, (Monetary authority). Fiscal policy is a collective term for the taxing and spending actions of governments, the national fiscal policy is determined by the executive and legislative branches of the government.

KEY FACTS

- Both monetary and fiscal policy are tools a government can access to support and stimulate the economy.
- Monetary policy addresses interest rates and the supply of money in circulation, and it is generally managed by a central bank.
- Fiscal policy addresses taxation and government spending, and it is generally determined by legislation.
- Monetary policy and fiscal policy together have great influence over a nation's economy, its businesses, and its consumers.

INTEREST RATES

INTRODUCTION; Interest rate is the percentage of principal charged by the lender for the use of its money. The principal is the amount of money loaned. Interest rates affect the cost of loans. As a result, they can speed up or slow down the economy. The central bank manages interest rates to achieve ideal economic growth.

What Is an Interest Rate? An interest rate is either the cost of borrowing money or the reward for saving it. It is calculated as a percentage of the amount borrowed or saved.

You borrow money from banks when you take out a home mortgage. Other loans can be used for buying a car, an appliance, or paying for education. Banks borrow money from you in the form of deposits, and interest is what they pay you for the use of the money deposited.² They use the money from deposits to fund loans.

Banks charge borrowers a slightly higher interest rate than they pay depositors. The difference is their profit. Since banks compete with each other for both depositors and borrowers, interest rates remain within a narrow range of each other.

How Interest Rates Work : The bank applies the interest rate to the total unpaid portion of your loan or credit card balance, and you must pay at least the interest in each compounding period. If not, your outstanding debt will increase even though you are making payments.

Although interest rates are very competitive, they aren't the same. A bank will charge higher interest rates if it thinks there's a lower chance the debt will get repaid. For that reason, banks will tend to assign a higher interest rate to revolving loans such as credit cards, as these types of loans are more expensive to manage. Banks also charge higher rates to people they consider risky; The higher your credit score, the lower the interest rate you will have to pay.

Fixed Versus Variable Interest Rates: Banks charge fixed rates or variable rates. Fixed rates remain the same throughout the life of the loan. Initially, your payments consist mostly of interest payments. As time goes on, you pay a higher and higher percentage of the debt principal. Most conventional mortgages are fixed-rate loans. Variable rates change with the prime rate. When the rate rises, so will the payment on your loan. With these loans, you must pay attention to the prime rate, which is based on the fed funds rate.⁷ With either type of loan, you can generally make an extra payment at any time toward the principal, helping you to pay the debt off sooner.

How Are Interest Rates Determined? The Federal Reserve sets the federal funds rate as the benchmark for short-term interest rates. The fed funds rate is what banks charge each other for overnight loans.

The fed funds rate affects the nation's money supply and, thus, the economy's health.

Treasury note yields are determined by the demand for U.S. Treasuries, which are sold at auction. When demand is high, investors pay more for the bonds. As a result, their yields are lower. Low Treasury yields affect interest rates on long-term bonds, such as 15-year and 30-year mortgages.

Impact of High Versus Low-Interest Rates

High-interest rates make loans more expensive. When interest rates are high, fewer people and businesses can afford to borrow. That lowers the amount of credit available to fund purchases, slowing consumer demand. At the same time, it encourages more people to save because they receive more on their savings rate. High-interest rates also reduce the capital available to expand businesses, strangling supply. This reduction in liquidity slows the economy.

Low-interest rates have the opposite effect on the economy. Low mortgage rates have the same effect as lower housing prices, stimulating demand for real estate. Savings rates fall. When savers find they get less interest on their deposits, they might decide to spend more. They might also put their money into slightly riskier but more profitable investments, which drives up stock prices. Low-interest rates make business loans more affordable. That encourages business expansion and new jobs. If low-interest rates provide so many benefits, why wouldn't they be kept low all the time? For the most part, the U.S. government and the Federal Reserve prefer low-interest rates. But low-interest rates can cause inflation. If there is too much liquidity, then the demand outstrips supply and prices rise; That's just one of the causes of inflation.

How Do Interest Rates Affect the Economy?

Nearly every aspect of life as we know it is affected by changing interest rates. Rising interest rates make consumers more cautious about spending and making large purchases, which affects the housing market. Declining interest rates, on the other hand, make it more favorable for businesses to fund investments, build new factories, increase production, and hire new people. Lower rates spur economic growth and are generally celebrated by the stock market.

Are Interest Rates Affected by Inflation?

Yes. Rising prices are the hallmark of inflation, and when prices go up, people can't afford to do many of the things they previously could do.

The Federal Reserve strives to maintain stability in the economy and keep its currency strong. It does not want prices to rise uncontrollably. That's why it increases interest rates in inflationary environments, so

as to discourage lending. It all comes down to supply and demand: When people cannot afford to buy things, demand falls, and thus, prices decline.

Why Are Interest Rates So Low?

Fueled by the implosion of mortgage-backed securities, the 2007–2008 financial crisis rattled global markets, and in response, the U.S. government added trillions of dollars in emergency stimulus to the economy and the housing market. It passed bills that strengthened regulation of the financial industry, and the Federal Reserve began a series of quantitative easing measures, slashing interest rates to nearly zero, to encourage consumer confidence and lending once again. Interest rates were kept at this low level for over a decade, and while the stock market enjoyed a long bull market as a result, critics argue that a consequence of this was inflation.

So, who gets to decide the interest rate? As you might imagine, economists fight about this. As with other things, supply and demand plays a big part; how many people want to take loans and how many want to lend money. **But central banks also have a ton of influence on the interest rate.** By buying and selling government debt, central banks can alter the supply and demand for credit, and nudge interest rates up or down. This strategy is one of several central bank tools labeled monetary policy, a topic that's been very important, and controversial in the recovery from the 2008 financial crash.